EQUITY GROUP HOLDINGS LIMITED

EQUITY
Group Holdings Limited

29th April, 2015

The Chief Executive Officer
Nairobi Securities Exchange
The Exchange
55 Westlands Road
NAIROBI

RECEIVED
29 APR 2015
NAIROBI SECURITIES EXCHANGE LTD

Attn: Mr. Geoffrey Odundo

Dear Sir,

RE: UN-AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 31ST MARCH, 2015

We wish to publish our un-audited financial statements as at 31st March, 2015. The financial statements have been duly approved by the Central Bank of Kenya and the Group Board of Directors.

We hereby enclose for your information a copy of the un-audited financial statements as at 31st March, 2015.

We take this opportunity to express our appreciation for your support and cooperation.

Yours faithfully,

Dr. James Mwangi, CBS
Group Managing Director & CEO
Encls.

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Fax: + 254 020-2711439 **Email:** info@equitygroupholdings.com **Website:** www.equitygroupholdings.com

Directors: Peter Munga (Chairman), Dr. James Mwangi, Benson Wairegi, Dennis Aluanga, Temitope Lawani (Alternate to Dennis Aluanga), Babatunde Soyoye, Alykhan Nathoo (Alternate to

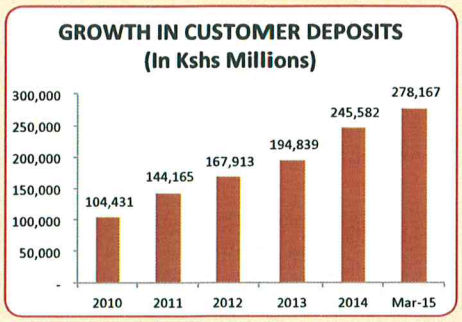
EQUITY GROUP HOLDINGS LIMITED (FORMERLY EQUITY BANK LIMITED)
UN-AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES AS AT 31ST MARCH 2015

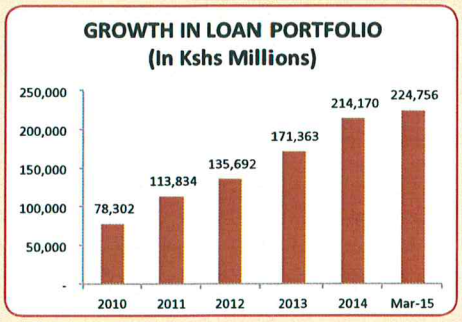
EQUITY Group Holdings Limited

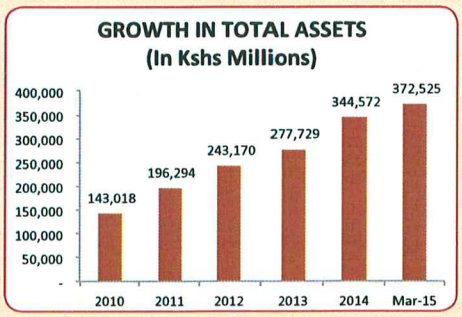
STATEMENT OF FINANCIAL POSITION AS AT	BANK			COMPANY		GROUP CONSOLIDATED		
	31st Mar 2014 Shs. '000' (Un-Audited)	31st Dec 2014 Shs. '000' (Audited)	31st Mar 2015 Shs. '000' (Un-Audited)	31st Dec 2014 Shs. '000' (Audited)	31st Mar 2015 Shs. '000' (Un-Audited)	31st Mar 2014 Shs. '000' (Un-Audited)	31st Dec 2014 Shs. '000' (Audited)	31st Mar 2015 Shs. '000' (Un-Audited)
A. ASSETS								
1. Cash (both Local & foreign)	6,893,233	5,213,116	8,372,318	-	-	9,839,274	8,440,563	12,101,494
2. Balances due from central Bank of Kenya	9,978,012	6,103,763	11,746,519	-	-	9,978,012	6,103,763	11,746,519
3. Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-
4. Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5.Investment Securities:	**32,959,377**	**34,654,815**	**35,618,234**	**-**	**-**	**44,415,258**	**48,369,008**	**48,911,563**
i) Held to Maturity: (a+b)	**22,426,689**	**21,388,050**	**20,712,691**	**-**	**-**	**33,650,354**	**34,890,897**	**33,780,843**
a. Kenya Government securities	21,558,789	19,288,900	18,613,541	-	-	21,558,789	19,288,900	20,712,691
b. Other securities	867,900	2,099,150	2,099,150	-	-	12,091,565	15,601,997	13,068,152
ii) Available for sale: (a+b)	**10,532,688**	**13,266,765**	**14,905,543**	**-**	**-**	**10,764,904**	**13,478,111**	**15,130,720**
a. Kenya Government securities	10,532,688	13,266,765	14,905,543	-	-	10,550,261	13,266,765	14,923,575
b. Other securities	-	-	-	-	-	214,643	211,346	207,145
6. Deposits and balances due from local banking institutions	4,926,809	10,146,632	8,859,356	8,417,995	1,752,996	4,968,696	10,146,632	8,899,444
7. Deposits and balances due from banking institutions abroad	6,701,458	6,758,072	11,488,194	-	-	16,397,675	23,527,785	29,247,580
8. Tax recoverable	-	-	-	-	-	46,779	123,483	76,755
9. Loans and advances to customers (net)	159,188,825	187,976,229	195,503,777	-	-	179,311,208	214,170,424	224,756,281
10.Balances due from banking institutions in the group	1,544,267	1,039,752	1,466,550	-	164,374	451,925	188,903	309,837
11. Investments in associates	1,113,069	-	-	-	-	1,623,941	-	-
12. Investments in subsidiary companies	10,283,629	-	-	54,799,197	54,799,197	-	-	-
13. Investments in joint ventures	-	-	-	-	-	-	-	-
14. Investment properties	8,494	8,494	8,494	-	-	8,494	8,494	8,494
15. Property and equipment	6,654,599	7,383,658	8,175,258	-	-	9,439,466	10,528,298	11,354,247
16. Prepaid lease rentals	4,080	4,045	4,034	-	-	185,617	108,040	159,774
17. Intangible assets	1,747,660	2,776,689	2,810,565	-	-	3,182,971	3,424,896	4,208,699
18. Deferred tax asset	701,348	2,249,352	2,269,352	-	-	763,013	2,573,932	3,098,343
19. Retirement benefit asset	-	-	-	-	-	-	-	-
20. Other assets	12,613,566	11,783,110	14,365,999	-	-	14,630,050	16,859,430	17,566,097
21.TOTAL ASSETS	**255,340,466**	**276,115,727**	**300,888,650**	**63,217,192**	**56,716,567**	**295,263,079**	**344,571,649**	**372,525,130**
B. LIABILITIES								
22. Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
23. Customer deposits	170,056,418	202,484,759	224,624,787	-	-	205,605,033	245,383,135	274,754,774
24. Deposits and balances due to Local banking institutions	222,420	199,136	1,412,173	-	-	222,420	199,136	1,412,173
25. Deposits and balances due to Foreign banking institutions	-	-	-	-	-	-	-	-
26. Other money market deposits	692,943	336,134	18,414	-	-	750,964	336,184	-
27. Borrowed funds	29,599,124	29,745,328	25,349,439	-	-	31,591,650	29,905,810	26,179,444
28. Balances due to group companies	-	-	-	420,000	441,332	-	-	-
29. Tax payable	957,186	-	1,613,821	440,935	440,935	1,049,814	462,900	2,210,571
30. Dividends payable.	2,209,381	-	-	22,677	65,018	2,209,381	22,677	65,018
31. Deferred tax liability	-	-	-	-	-	-	2,142	1,162
32. Retirement benefit liability	-	-	-	-	-	-	-	-
33. Other liabilities	2,793,373	3,617,026	3,602,903	-	-	3,736,057	4,483,963	4,982,986
34. TOTAL LIABILITIES	**206,530,845**	**236,382,383**	**256,623,537**	**903,612**	**947,285**	**245,185,319**	**280,795,953**	**311,606,128**
C. SHAREHOLDERS' FUNDS								
35. Paid up/Assigned capital	1,851,388	30,000,000	30,000,000	1,851,388	1,851,388	1,851,388	1,851,388	1,851,388
36. Share premium/ (discount)	12,161,021	9,733,344	9,984,132	12,161,021	12,161,021	12,161,021	12,161,021	12,161,021
37. Revaluation reserve	(382,679)	-	(234,430)	-	-	(1,368,636)	(977,286)	(1,307,685)
38. Retained earnings/ Accumulated losses	34,601,314	(769,212)	3,766,199	41,636,172	41,734,873	36,700,270	43,054,995	47,248,075
39.Statutory Loan Loss reserve	578,577	769,212	769,212	-	-	733,717	1,020,579	966,200
40.Other Reserves	-	-	-	-	-	-	-	-
41. Proposed dividends	-	-	-	6,664,999	-	-	6,664,999	-
42. Capital grants	-	-	-	-	-	-	-	-
43. TOTAL SHAREHOLDERS' FUNDS	**48,809,621**	**39,733,344**	**44,265,113**	**62,313,580**	**55,749,282**	**50,077,760**	**63,775,696**	**60,919,002**
44.TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	**255,340,466**	**276,115,727**	**300,888,650**	**63,217,192**	**56,716,567**	**295,263,079**	**344,571,649**	**372,525,130**

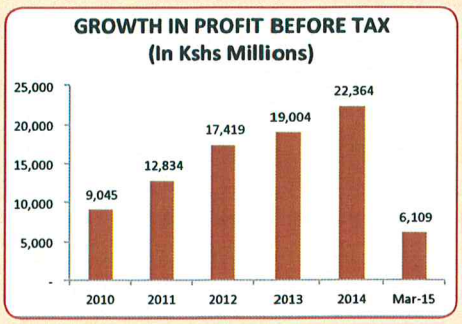
STATEMENT OF COMPREHENSIVE INCOME	BANK			COMPANY		GROUP CONSOLIDATED		
1. INTEREST INCOME								
1.1 Loans and advances	6,529,542	-	7,299,660	27,525,223	-	7,313,075	30,999,140	8,224,824
1.2 Government securities.	771,845	-	846,649	3,281,374	-	908,145	3,858,292	1,026,427
1.3 Deposits and placements with banking institutions	61,518	-	108,765	266,774	-	80,453	370,503	159,248
1.4 Other Interest Income	2,311	-	6,464	6,052	122,033	115,620	138,953	231
1.5 Total Interest Income	**7,365,236**	**-**	**8,261,558**	**31,140,023**	**122,033**	**8,417,313**	**35,366,888**	**9,470,730**
2. INTEREST EXPENSES								
2.1 Customer deposits	808,836	-	1,166,460	3,534,022	-	1,053,185	4,668,626	1,447,317
2.2 Deposits and placements from banking institutions	4,268	-	20,033	34,416	-	6,677	72,690	47,580
2.3 Other Interest expense	331,286	-	363,291	1,412,016	-	344,592	1,452,935	357,836
2.4 Total Interest Expenses	**1,144,390**	**-**	**1,549,784**	**4,980,454**	**-**	**1,404,454**	**6,192,251**	**1,852,733**
3. NET INTEREST INCOME	**6,220,746**	**-**	**6,711,774**	**26,159,569**	**122,033**	**7,012,859**	**29,174,637**	**7,617,997**
4. NON-INTEREST INCOME								
4.1 Fees and commissions income on loans & advances	1,151,257	-	1,124,083	4,918,631	-	1,219,687	5,214,734	1,299,361
4.2 Other Fees and commissions income	1,543,798	-	1,934,852	7,497,093	-	2,018,490	8,841,541	2,420,698
4.3 Foreign exchange trading income	196,171	-	772,604	1,204,900	-	611,092	2,344,899	1,154,771
4.4 Dividend Income	-	-	-	900,223	-	2,053	104,156	-
4.5 Other income.	87,561	-	114,154	485,978	-	288,825	1,988,712	744,887
4.6 Total Non-Interest Income	**2,978,787**	**-**	**4,007,693**	**15,006,825**	**-**	**4,132,147**	**18,474,042**	**5,619,717**
5. TOTAL OPERATING INCOME	**9,199,533**	**-**	**10,719,467**	**41,166,394**	**122,033**	**11,145,006**	**47,648,679**	**13,237,714**
6. OPERATING EXPENSES								
6.1 Loan Loss Provision	270,399	-	218,802	1,159,064	-	316,499	1,590,863	344,121
6.2 Staff costs	1,977,153	-	1,956,467	8,769,508	-	2,414,746	10,775,752	2,464,485
6.3 Directors' emoluments	2,986	-	6,436	21,152	-	4,652	37,855	19,039
6.4 Rental charges	252,618	-	294,576	1,087,789	-	443,966	1,591,137	478,226
6.5 Depreciation on property and equipment	492,940	-	595,581	2,049,378	-	615,391	2,637,901	753,994
6.6 Ammortisation charges	93,245	-	184,216	518,987	-	95,330	544,572	191,708
6.7 Other operating expenses	1,352,786	-	2,062,504	7,448,944	21,333	1,851,678	9,168,405	2,875,599
6.8 Total Operating Expenses	**4,443,127**	**-**	**5,339,182**	**21,054,812**	**21,333**	**5,742,462**	**26,348,483**	**7,129,172**
Profit/(loss) before tax and exceptional items	**4,756,406**	**-**	**5,380,285**	**20,111,582**	**100,700**	**5,402,544**	**21,300,196**	**6,108,542**
Gain on disposal of associate	-	-	-	1,667,272	-	-	1,063,737	-
Exceptional item-Share of profit of associate	-	-	-	-	-	49,507	-	-
Profit/(loss) after exceptional items	**4,756,406**	**-**	**5,380,285**	**21,778,854**	**100,700**	**5,452,051**	**22,363,933**	**6,108,542**
10. Current tax	(1,426,922)	-	(1,614,085)	(6,510,867)	-	(1,568,941)	(6,843,229)	(1,913,395)
11. Deferred tax	-	-	-	1,568,003	-	(4,454)	1,430,671	-
12. Profit / (loss) after tax and exceptional items	**3,329,484**	**-**	**3,766,200**	**16,835,990**	**100,700**	**3,878,656**	**17,151,365**	**4,295,147**
13. Other Comprehensive Income								
13.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	(354,285)	136,631	(330,399)
13.2 Fair value changes in available for sale financial assets	347,379	-	(234,430)	344,921	-	347,379	344,921	(234,430)
13.3 Revaluation surplus on Property,plant and equipment	-	-	-	-	-	-	-	-
13.4 Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	-	-	-	-	-	-	142,148	-
14. Other Comprehensive Income for the year net of tax	**347,379**	**-**	**(234,430)**	**344,921**	**-**	**(6,906)**	**623,700**	**(564,829)**
15. Total comprehensive income for the year	**3,676,863**	**-**	**3,531,770**	**17,180,911**	**100,700**	**3,871,750**	**17,775,065**	**3,730,318**
EARNINGS PER SHARE- BASIC & DILUTED	**0.90**	**-**	**1.02**	**4.65**	**0.03**	**1.05**	**4.63**	**1.16**

OTHER DISCLOSURES	BANK			COMPANY		GROUP CONSOLIDATED		
1) NON PERFORMING LOANS AND ADVANCES								
a) Gross non performing loans and advances	6,424,921	7,449,299	8,037,479	-	-	7,765,108	9,343,596	10,058,970
b) Less Interest in suspense	1,575,512	1,792,184	1,980,070	-	-	1,688,930	1,993,988	2,199,245
c) Total Non-Performing loans and advances (a-b)	**4,849,409**	**5,677,115**	**6,057,409**	**-**	**-**	**6,076,178**	**7,349,608**	**7,859,725**
d) Less Loan loss provision	2,875,579	3,204,272	3,242,486	-	-	3,460,969	4,028,980	4,161,970
e) Net non- performing loans(c-d)	1,973,830	2,472,843	2,814,923	-	-	2,615,209	3,320,628	3,697,755
f) Discounted value of securities	1,595,935	2,006,848	2,332,870	-	-	2,237,313	2,854,633	3,215,702
g) Net NPLs Exposure (e-f)	**377,895**	**465,995**	**482,053**	**-**	**-**	**377,896**	**465,995**	**482,053**
2)INSIDER LOANS AND ADVANCES								
a) Directors, shareholders and associates	1,535,062	1,150,610	1,066,148	-	-	1,535,062	1,150,610	1,066,148
b)Employees	4,665,977	5,852,490	6,196,204	-	-	4,968,500	6,280,775	6,604,428
c) Total Insider Loans and Advances and other Facilities	**6,201,039**	**7,003,100**	**7,262,352**	**-**	**-**	**6,503,562**	**7,431,385**	**7,670,576**
3)OFF BALANCE SHEET ITEMS								
a) Letter of Credit, guarantees, acceptances	12,722,859	19,966,165	19,378,356	-	-	14,683,355	23,074,076	22,311,551
b) Forwards, Swaps and Options	30,885	3,583	87,425	-	-	406,507	3,583	87,425
c) Other contigent Liabilities	3,040,401	3,911,635	4,095,570	-	-	3,040,401	3,911,635	4,095,570
d) Total contigent Liabilities	**15,794,145**	**23,881,383**	**23,561,351**	**-**	**-**	**18,130,263**	**26,989,294**	**26,494,546**
4) CAPITAL STRENGTH								
a) Core Capital	36,423,343	39,733,344	41,847,231					
b) Minimum statutory capital	1,000,000	1,000,000	1,000,000					
c) Excess/ (defficiency)	**35,423,343**	**38,733,344**	**40,847,231**					
d) Supplementary capital	8,877,306	6,818,642	6,212,474					
e) Total Capital (a+d)	**45,300,649**	**46,551,986**	**48,059,706**					
f) Total Risk Weighted Assets	**259,817,858**	**268,517,818**	**285,595,971**					
RATIOS								
g) Core Capital/ Total Deposit Liabilities	21.4%	19.6%	18.5%					
h) Minimum statutory ratio	8.0%	8.0%	8.0%					
i) Excess / (defficiency) (g-h)	**13.4%**	**11.6%**	**10.5%**					
j) Core Capital/ Total Risk Weighted Assets	14.0%	14.8%	14.7%					
k) Minimum statutory Ratio	10.5%	10.5%	10.5%					
l) Excess / (defficiency) (j-k)	**3.5%**	**4.3%**	**4.2%**					
m) Total Capital/ Total Risk Weighted assets	17.4%	17.3%	16.8%					
n) Minimum statutory Ratio	14.5%	14.5%	14.5%					
o) Excess / (defficiency) (m-n)	**2.9%**	**2.8%**	**2.3%**					
5) LIQUIDITY								
a) Liquidity Ratio	33.0%	30.4%	32.9%					
b) Minimum statutory Ratio	20.0%	20.0%	20.0%					
c) Excess / (defficiency) (a-b)	**13%**	**10.4%**	**12.9%**					









These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.equitygroupholdings.com
They may also be accessed at the institutions head office located at Equity Centre, 9th floor, Hospital Road Upper Hill.

Signed: **DR JAMES MWANGI, CBS**
CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR

Signed: **MR. PETER K. MUNGA, CBS**
CHAIRMAN